

Yes, my search for themes means that I am not a pure “stock picker,” looking for “great stocks” wherever I can find them. Of course, I want the most attractive stocks that reflect the themes, but the themes come first.

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First I determine themes that will be played out over the next several years. Then I identify groups of stocks that reflect those themes.

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Perhaps this will disappoint the reader. Stock pickers have become celebrities, the Rubinsteins of the investment world, the reputed possessors of an uncanny skill in uncovering gems hidden from the eyes of ordinary mortals. In practical terms, however, there are some ten thousand publicly traded companies out there, which makes for a lot of haystacks in which to hunt for needles. I think it makes sense to narrow the search.

I am reminded of the old plate spinner act you used to see on television variety programs. The spinner puts a thin rod into a socket resting on the floor, places a dinner plate atop the rod, and pumps the rod vigorously until the plate is spinning fast enough to stay on top of the rod unaided. After plate one has stabilized (working as a simple gyroscope), the spinner sets up another rod with another plate on it. Soon plate number two is spinning alongside number one. Number three sets up easily, then number four—but now number one is wobbling dangerously and needs cranking up again. The spinner keeps adding plates—a dozen or more—just managing to rescue the one about to fall and shatter on the floor. As the act builds toward its climax, the spinner is running from plate to plate faster and faster, cranking desperately, until everyone in the audience is laughing uncontrollably.